

How to License and Monetise Open Source Software

This article looks at the basics of open source licensing to help readers monetise the open source software that they develop.



There are guidelines for a licence to qualify for an open source licence from the Free Software Foundation (FSF)/Open Source Initiative (OSI).

There are a few basic rules that an open source licence must comply with — it should give the user the right to run, study, modify and distribute the source code. If these four permissions are given by the author to any user, then it can get a FSF/OSI-approved open source licence.

The three aspects of open source software: What, how and why

What it is: Source code that is shared within a community is open source software. This follows a decentralised development approach, which means development does not happen at one centre, but is carried out on a global scale, with many people making their contributions.

How to ensure that the software being released is truly open source: Any individual or company trying to integrate open source software in their products should be aware of

the open source guidelines. There should be an open source management team dedicated to complying with the licence obligations — a team that is proficient in reading the open source licences. Last, but not the least, a security vulnerability check for each and every component that is being integrated in the product, needs to be done.

Why should a company, startup or individual integrate open source software (OSS) into their products: Why should you incorporate software that is not built by your own team?

First, it will help in reducing the development cycle. As technology is evolving, the development cycle is reducing with every release. Earlier, a new version was released once in a year; this has now gone down to a few months. The only way we can cope with this is by using built-up modules that are available in the open source domain.

The second reason is cost, even though the use of open source software is not all about profit because well-established companies do not rank cost reduction as their first priority. What is important is that the product should fulfil all